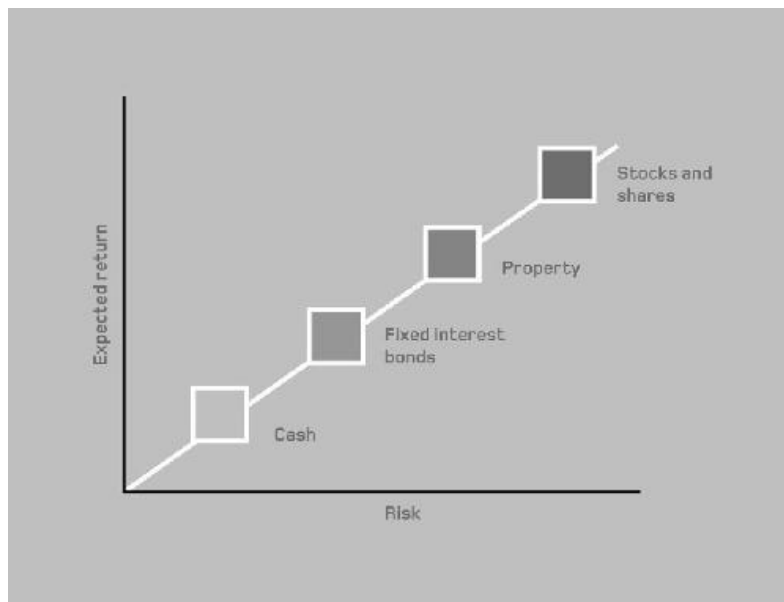


Risk and return



Risk and return for different forms of investment

Risk and return go together: risky financial assets or investment projects tend to offer higher potential returns in the future, and when risk is low, potential returns are also likely to be low. Because people tend to avoid risk but like high returns, risk and return form a trade-off: to get higher potential returns, one has to take on more risks.

Imagine that a firm starts producing a novel product: it is hard to predict whether the product will catch on and the firm will survive, and for this reason, an investor lending to the firm would demand a high rate of interest. If the product did well and the firm made huge profits, its shareholders would make a lot of money and the people who'd lent it money would receive their hefty interest payments. But conversely, the firm might also end up going bust, in which case investors would lose out. At the other extreme, one could invest in safe government bonds: these have a very low risk of default but pay low rates of interest.